ICT/SMC NAS100 Bias Strategy

A-to-Z manual + EA blueprint + candlestick/binary-style timing

Educational notice: No strategy, EA, indicator, or candlestick pattern guarantees profit. Binary/short-expiry decisions are especially sensitive to timing, spread and execution. This material is a chart-reading and automation framework, not a guarantee of next-candle direction.

1. Market, Timeframe & Objective

Primary instrument: NAS100/US100. Suggested context: H4/H1. Suggested execution: M5. Focus on liquid periods such as New York.

Objective

- Build directional bias first.
- Find liquidity, wait for a sweep, then require displacement/structure shift.
- Use a retracement plus candlestick confirmation for entry.

2. A-to-Z Setup

A — Bias

- Bullish: higher-high/higher-low structure or clear bullish displacement.
- Bearish: lower-high/lower-low structure or clear bearish displacement.

B — Liquidity

- Mark previous-day high/low, Asian range, equal highs/lows and major H1/H4 swings.

C — Sweep

- Bullish setup: price takes sell-side liquidity and rejects.
- Bearish setup: price takes buy-side liquidity and rejects.

D — Displacement

- Look for a decisive impulsive move that breaks a meaningful short-term swing; an FVG may remain.

E — Retracement

- Wait for price to return toward the FVG/order-block/discount-premium area.

F — Candle trigger

- Bullish engulfing/rejection candle for long; bearish engulfing/rejection candle for short.

G — Entry

- Enter only after the confirmation candle closes.

H — Stop

- Beyond the structural invalidation swing.

I — Target

- Opposing liquidity, session high/low, or predefined 1.5R–2R target.

J — Journal

- Save screenshot, setup grade, reason, result in R and mistake.

3. Binary-Style Candlestick Interpretation

For a CALL-style directional decision: sell-side sweep → bullish displacement → retracement → bullish confirmation close.

For a PUT-style directional decision: buy-side sweep → bearish displacement → retracement → bearish confirmation close.

Do not interpret this as a guaranteed next-candle prediction. Short expiries can lose despite a technically valid setup.

4. EA Bot Blueprint

State machine

- WAIT → BIAS → LIQUIDITY → SWEEP → DISPLACEMENT → RETRACE → CANDLE_CONFIRM → RISK_CHECK → ORDER → MANAGE → EXIT → COOLDOWN.

Safety rules

- One active setup per direction.
- Max daily loss lock.
- Max trades/day.
- Max spread/slippage.
- News filter optional.
- Stop opening trades after daily loss or session cutoff.

5. Backtesting

Test 6–12+ months where data quality allows. Split in-sample and out-of-sample periods. Record win rate, expectancy, profit factor, maximum drawdown, average R, consecutive losses and trade frequency.

Avoid over-optimizing dozens of parameters.

Risk framework

- Risk 0.25%–1% per trade while testing; use a hard daily loss limit.
- Never use martingale or increase size to recover a loss.
- Define SL from market invalidation, not emotion; calculate position size from SL distance.
- Track expectancy, drawdown, profit factor, average R and consecutive losses—not only win rate.
- Backtest, forward-test on demo, then use small live risk.